US Tax Deductions, Credits, Retirement Accounts and Filing Guide - Tax Year 2026

Standard and itemized deductions, new 2025-law deductions, credits, retirement and health accounts, deadlines, penalties

Prepared October 10, 2026 from IRS Revenue Procedure 2025-32, IRS news releases, and IRS Working Families Tax Cuts (One Big Beautiful Bill Act) guidance.

1. Purpose and scope

This document covers deductions, tax credits, tax-advantaged accounts, and the mechanics of filing a US federal individual income tax return for **tax year 2026** (returns filed in 2027), with 2025 figures where they differ. It is the companion to *US Federal Individual Income Tax Guide - Tax Year 2026*, which explains brackets and how tax is calculated. This is general educational information, not tax or legal advice.

2. Standard deduction versus itemizing

Every taxpayer subtracts either the standard deduction or itemized deductions from AGI, whichever is larger (a taxpayer may choose to itemize even when smaller). About nine in ten taxpayers take the standard deduction.

Filing status	Tax year 2025	Tax year 2026
Single / Married Filing Separately	$15,750	$16,100
Married Filing Jointly / Qualifying Surviving Spouse	$31,500	$32,200
Head of Household	$23,625	$24,150

Additional standard deduction for taxpayers who are age 65 or older or blind: for 2026, $2,050 for single and head of household filers and $1,650 per qualifying person for married filers. A dependent's standard deduction is limited to the greater of $1,350 or earned income plus $450 (2025 rule; the 2026 amounts are slightly higher), not to exceed the regular standard deduction.

Itemized deductions (Schedule A)

- **State and local taxes (SALT)**: state and local income or sales tax plus property tax. The OBBBA raised the cap from $10,000 to **$40,000** for 2025 and **$40,400** for 2026 ($20,200 if MFS), rising 1% a year through 2029 and returning to $10,000 in 2030. The cap is reduced (but not below $10,000, or $5,000 for MFS) by 30% of modified AGI over $500,000 in 2025 ($505,000 in 2026).
- **Home mortgage interest** on up to $750,000 of acquisition debt ($375,000 if MFS) - this limit was made permanent. Debt incurred on or before December 15, 2017 keeps the $1,000,000 limit. Home equity loan interest is deductible only if the proceeds were used to buy, build, or substantially improve the home. Mortgage insurance premiums are treated as deductible interest again beginning with 2026.

- **Charitable contributions**: cash gifts to public charities are generally deductible up to 60% of AGI; noncash gifts up to 30% or 50% depending on the property and recipient. Beginning in 2026, itemizers can deduct charitable gifts only to the extent they exceed 0.5% of AGI. Written acknowledgment is needed for any single gift of $250 or more.
- **Medical and dental expenses** exceeding 7.5% of AGI.
- **Casualty and theft losses** only from federally declared disasters (and, beginning 2026, certain state-declared disasters).
- **Gambling losses** up to the amount of gambling winnings reported.
- **Limit on benefit**: beginning in 2026, the tax value of itemized deductions for taxpayers in the 37% bracket is limited so it does not exceed the value at a 35% rate.

As a rule of thumb, itemizing makes sense only when total itemized deductions exceed the standard deduction ($16,100 single or $32,200 married filing jointly for 2026).

3. Adjustments to income (above-the-line deductions)

These reduce AGI and are available whether or not you itemize (Schedule 1 of Form 1040):

- Traditional IRA contributions (subject to income limits if covered by a workplace plan; see section 7).
- Student loan interest, up to $2,500, subject to income phase-outs.
- Health Savings Account contributions.
- The deductible half of self-employment tax; self-employed health insurance premiums; contributions to SEP, SIMPLE, and solo 401(k) plans.
- Educator expenses up to $300 for eligible K-12 educators.
- Alimony paid under divorce or separation instruments executed on or before December 31, 2018 (not for later agreements).

4. New and enhanced deductions under the 2025 law (OBBBA / Working Families Tax Cuts)

Several new deductions apply for tax years 2025 through 2028 and are available to taxpayers who take the standard deduction as well as those who itemize. They are taken below the AGI line and reduce taxable income but not AGI. Each generally requires a valid Social Security number for the taxpayer, and married taxpayers must file jointly to claim most of them.

Deduction	Maximum amount	Phase-out and key rules
Qualified tips ("no tax on tips")	Up to $25,000	Tips received in an occupation that customarily and regularly received tips. Phases out by $100 for each $1,000 of modified AGI over $150,000 ($300,000 joint). Tax years 2025-2028.
Qualified overtime ("no tax on overtime")	Up to $12,500 ($25,000 joint)	Only the premium (the 'half' in time-and-a-half) required by the Fair Labor Standards Act counts. Same $150,000 / $300,000 phase-out. Tax years 2025-2028.
Enhanced deduction for seniors (age 65+)	$6,000 per eligible person	Reduced by 6% of modified AGI over $75,000 ($150,000 joint); not available if married filing separately. Separate from the additional standard deduction. Tax years 2025-2028.

Deduction	Maximum amount	Phase-out and key rules
Car loan interest	Up to $10,000 per year	Interest on a loan taken out after December 31, 2024 to buy a new personal-use vehicle with final assembly in the US. Phases out by $200 for each $1,000 of modified AGI over $100,000 ($200,000 joint). Tax years 2025-2028.
Charitable cash gifts by non-itemizers	$1,000 ($2,000 joint)	Beginning in tax year 2026, cash gifts to eligible public charities qualify even if you take the standard deduction. Donor-advised funds and supporting organizations do not qualify. Permanent.

Qualified Business Income (QBI) deduction

Owners of sole proprietorships, partnerships, S corporations, and certain trusts may deduct up to 20% of qualified business income (Section 199A). The OBBBA made the deduction permanent and, beginning in 2026, provides a minimum deduction of $400 for taxpayers with at least $1,000 of QBI from an active trade or business. Limits based on W-2 wages and property apply above the taxable-income thresholds, and specified service trades or businesses (such as law, health, consulting) lose the deduction at higher incomes.

5. Tax credits

Credits reduce tax dollar for dollar and are more valuable than an equal deduction. Refundable credits can produce a refund even if no tax is owed.

Child Tax Credit (CTC) and Credit for Other Dependents

For 2026 the Child Tax Credit is **$2,200** per qualifying child under age 17 at year-end (raised from $2,000 by OBBBA and indexed for inflation after 2025). Up to $1,700 per child is refundable as the Additional Child Tax Credit (requires earned income above $2,500). The credit phases out by $50 for every $1,000 of modified AGI above $200,000 ($400,000 married filing jointly). The child must have a Social Security number valid for employment, and at least one parent must have one. The Credit for Other Dependents is $500 per non-child dependent.

Earned Income Tax Credit (EITC)

The EITC is a refundable credit for low- and moderate-income workers with earned income. For tax year 2026 the maximum credit is **$8,231** for taxpayers with three or more qualifying children (up from $8,046 in 2025). Approximate 2026 maximums for other family sizes are $4,427 with one child, $7,316 with two children, and $664 with no children (childless workers must generally be age 25-64). Investment income must be limited (about $12,200 for 2026). Income limits and phase-out ranges depend on filing status and number of children; the full table is in Revenue Procedure 2025-32. Taxpayers with qualifying children must have valid SSNs; the IRS may require Form 8862 after a prior disallowance.

Child and Dependent Care Credit

The credit offsets part of the cost of care for a qualifying child under 13 (or a disabled spouse or dependent) while you work or look for work. Beginning in tax year 2026 the maximum credit rate increases from 35% to 50% of qualifying expenses (the rate falls as income rises). Qualifying expenses are capped at $3,000 for one qualifying person and $6,000 for two or more. Day care, before- and after-school care, and day camps qualify; overnight camps and tuition do not. Claimed on Form 2441.

Education credits

- **American Opportunity Tax Credit (AOTC)**: up to $2,500 per eligible student for the first four years of postsecondary education (100% of the first $2,000 of expenses plus 25% of the next $2,000); 40% (up to $1,000) is refundable.
- **Lifetime Learning Credit (LLC)**: 20% of up to $10,000 of expenses (maximum $2,000 per return) for any postsecondary or skill-improvement course.
- Both credits phase out at modified AGI of $80,000 to $90,000 for single filers and $160,000 to $180,000 for joint filers (the LLC phase-out range is not inflation-indexed). They are generally unavailable for married filing separately. You cannot claim both for the same student in the same year.

Other credits

- **Saver's Credit**: 10%, 20%, or 50% of up to $2,000 of retirement contributions ($4,000 joint) for lower-income taxpayers.
- **Adoption Credit**: up to $17,670 of qualified adoption expenses for 2026 (up from $17,280); up to $5,120 is refundable in 2026.
- **Premium Tax Credit**: helps pay for Marketplace health insurance; advance payments must be reconciled on Form 8962. Beginning with tax years after 2025 there is no cap on repaying excess advance payments.
- **Residential Clean Energy Credit (25D) and Energy Efficient Home Improvement Credit (25C)**: ended for property placed in service or expenditures made after December 31, 2025.
- **Clean vehicle credits (new 30D and used 25E)**: ended for vehicles acquired after September 30, 2025.
- **Federal scholarship tax credit**: beginning January 1, 2027, a credit for contributions to scholarship-granting organizations in participating states.

6. Trump Accounts

Created by the 2025 law, Trump Accounts are IRA-like accounts for children. Accounts could not be funded before July 4, 2026. The federal government makes a one-time $1,000 pilot contribution for eligible children. Individuals, relatives, and employers may contribute up to $5,000 per year in total; employers may contribute up to $2,500 per year excluded from the employee's income. Funds must be invested in qualifying low-cost U.S. stock index funds. Withdrawals are generally not allowed before the year the child turns 18, after which the account is treated like a traditional IRA.

7. Retirement and health accounts - 2026 limits

Account / item	2025	2026
401(k), 403(b), most 457 plans, TSP - employee deferral	$23,500	$24,500
Catch-up contribution, age 50+ (401(k) etc.)	$7,500	$8,000
Higher catch-up, age 60-63 (401(k) etc.)	$11,250	$11,250
IRA contribution limit (traditional or Roth, combined)	$7,000	$7,500
IRA catch-up contribution, age 50+	$1,000	$1,100
SIMPLE IRA employee deferral	$16,500	$17,000
HSA contribution (self-only / family)	$4,300 / $8,550	$4,400 / $8,750
HSA catch-up, age 55+	$1,000	$1,000
Health FSA salary reduction limit	$3,300	$3,400

Account / item	2025	2026
Qualified transportation fringe, monthly	$325	$340
Qualified charitable distribution (QCD) limit, age 70 1/2+	$108,000	$111,000

Under SECURE 2.0, beginning in 2026 catch-up contributions to employer plans by higher earners (prior-year FICA wages above $150,000) must generally be made as Roth contributions. Total additions to a defined-contribution plan (employee plus employer) are capped separately each year.

2026 IRA income limits

Rule	Phase-out range (modified AGI)
Traditional IRA deduction, single covered by a workplace plan	$81,000 - $91,000
Traditional IRA deduction, married filing jointly, contributing spouse covered by a workplace plan	$129,000 - $149,000
Traditional IRA deduction, contributing spouse not covered but other spouse is covered (MFJ)	$242,000 - $252,000
Roth IRA contribution eligibility, single or head of household	$153,000 - $168,000
Roth IRA contribution eligibility, married filing jointly	$242,000 - $252,000
Traditional or Roth IRA, married filing separately (not indexed)	$0 - $10,000

Single-filer figures in this table are from the IRS 2026 retirement cost-of-living notice as widely reported; the joint figures are confirmed by multiple news summaries of the IRS announcement of November 13, 2025.

Traditional versus Roth. Traditional contributions may be deductible now and are taxed on withdrawal. Roth contributions are made with after-tax dollars; qualified withdrawals (after age 59 1/2 and a five-year holding period) are tax-free. HSAs have a triple tax advantage - deductible contributions, tax-free growth, and tax-free withdrawals for qualified medical expenses - and require enrollment in a high-deductible health plan (bronze and catastrophic Marketplace plans qualify beginning in 2026, as do certain direct primary care arrangements). Required minimum distributions from traditional accounts begin at age 73 (75 for those born in 1960 or later); the penalty for missing an RMD is 25% (10% if corrected promptly).

8. Filing: forms, deadlines, extensions, and payment

Common forms

Form	Purpose
Form 1040	Individual Income Tax Return (the main return). Schedules 1, 2, 3 carry adjustments, other taxes, and credits.
W-2	Wage and Tax Statement from employers (due to employees by January 31).
1099-NEC / 1099-K / 1099-MISC	Nonemployee compensation, payment-app and card payments, and miscellaneous income.
1099-INT / 1099-DIV / 1099-B / 1099-R	Interest, dividends, brokerage sales, and retirement distributions.
Schedule A / Schedule C / Schedule D / Schedule SE	Itemized deductions / business profit or loss / capital gains and losses / self-employment tax.
Form 4868	Automatic six-month extension of time to file (not to pay).

Form	Purpose
Form 1040-ES	Estimated tax payments.
Form 1040-X	Amended return.
Form W-4	Employee's withholding certificate.

Key dates

Event	Date
Extended deadline to file the tax year 2025 return (if Form 4868 was filed)	October 15, 2026
Estimated tax payment for the fourth quarter of 2026	January 15, 2027
Employers must furnish W-2s; payers must furnish most 1099-NEC forms	January 31, 2027
IRS filing season for tax year 2026 returns typically opens	Late January 2027
Filing and payment deadline for tax year 2026 returns	April 15, 2027
Extended filing deadline for tax year 2026 returns (payment still due April 15)	October 15, 2027

An extension gives more time to *file*, not more time to *pay*. Tax owed is due by the original April deadline, and interest runs on any unpaid balance from that date. If a deadline falls on a weekend or legal holiday, the due date moves to the next business day. Taxpayers affected by federally declared disasters often receive postponed deadlines automatically.

How to file and pay

Returns can be e-filed through commercial software, an authorized e-file provider or tax professional, or IRS Free File if eligible, or filed on paper. E-filing with direct deposit is the fastest way to receive a refund; most refunds are issued within about three weeks. Taxes may be paid through IRS Direct Pay (bank account), debit or credit card through a payment processor, EFTPS, or the taxpayer's IRS online account. A taxpayer who cannot pay in full can request a short-term extension or an installment agreement (Form 9465 or the online payment agreement application). The IRS no longer offers the Direct File program; use other free options.

Penalties and interest

- **Failure-to-file penalty**: 5% of unpaid tax for each month or part of a month the return is late, up to 25%. If the return is more than 60 days late, a minimum penalty applies.
- **Failure-to-pay penalty**: 0.5% of unpaid tax per month or part of a month, up to 25%. The rate is reduced to 0.25% while an approved installment agreement is in effect if the return was filed on time.
- **Underpayment of estimated tax penalty** (Form 2210) applies when too little tax is paid during the year; the safe harbors are 90% of current-year tax or 100% of prior-year tax (110% for higher-income taxpayers).
- **Interest** accrues on unpaid tax and penalties at the federal short-term rate plus 3 percentage points, adjusted quarterly.
- **Accuracy-related penalty**: generally 20% of the underpayment attributable to negligence or substantial understatement; civil fraud penalty is 75%.

Amended returns, records, and audits

An error on a filed return is corrected with Form 1040-X. The general deadline to claim a refund is three years from the date the original return was filed or two years from the date the tax was paid, whichever is later. The

IRS generally has three years from the filing date to assess additional tax; this extends to six years if more than 25% of gross income was omitted, and there is no limit for fraud or unfiled returns. Keep tax records (W-2s, 1099s, receipts, basis records for investments, and records of home improvements) at least three years after filing; records supporting the basis of property should be kept until three years after the property is sold. An IRS notice should be answered by the date stated; most are resolved by mail or phone, and taxpayers can appeal and may contact the Taxpayer Advocate Service if they face hardship.

9. Special situations

- **Self-employed and gig workers**: report income on Schedule C, pay self-employment tax, make quarterly estimated payments, and deduct ordinary and necessary business expenses (home office, supplies, vehicle use, health insurance, retirement plan contributions). The QBI deduction may apply.
- **Selling a home**: up to $250,000 ($500,000 MFJ) of gain is excludable if you owned and used the home as your main home for at least two of the five years before the sale.
- **Foreign income**: US citizens and residents are taxed on worldwide income. The 2026 foreign earned income exclusion is $132,900 (up from $130,000). The foreign tax credit and FBAR/FATCA reporting may apply.
- **Students and dependents**: a person who can be claimed as a dependent has limited standard deduction; scholarships used for tuition and required fees are generally tax-free.
- **Identity theft and scams**: the IRS initiates contact by mail, not by threatening calls, texts, or emails demanding immediate payment by gift card or crypto. An Identity Protection PIN (IP PIN) can be requested from IRS.gov.

10. Frequently asked questions

Q: Should I take the standard deduction or itemize in 2026?

A: Compare your total itemized deductions (SALT up to $40,400, mortgage interest, charitable gifts above 0.5% of AGI, medical expenses above 7.5% of AGI) with the standard deduction of $16,100 (single), $32,200 (married filing jointly) or $24,150 (head of household). Take whichever is larger.

Q: How much is the Child Tax Credit for 2026?

A: $2,200 per qualifying child under 17, with up to $1,700 refundable. It phases out above $200,000 of modified AGI ($400,000 for joint filers).

Q: Is there really no tax on tips or overtime?

A: Not entirely. For 2025 through 2028 qualified tips (up to $25,000) and the premium portion of qualified overtime (up to $12,500, or $25,000 joint) are deductible from taxable income, subject to income phase-outs. They remain subject to Social Security and Medicare tax.

Q: What is the maximum I can contribute to a 401(k) and IRA in 2026?

A: $24,500 to a 401(k) ($32,500 with the age-50 catch-up) and $7,500 to an IRA ($8,600 with the age-50 catch-up).

Q: When is my 2026 tax return due?

A: April 15, 2027. A Form 4868 extension moves the filing deadline to October 15, 2027, but tax owed is still due April 15, 2027.

Q: I missed the April 2026 deadline for my 2025 return. What now?

A: If you filed Form 4868 you have until October 15, 2026. If you did not, file as soon as possible: the failure-to-file penalty (5% per month) is much larger than the failure-to-pay penalty (0.5% per month), so file even if you cannot pay in full and then arrange a payment plan.

Q: Can I still claim the electric vehicle or solar credit?

A: The new and used clean vehicle credits ended for vehicles acquired after September 30, 2025. The residential clean energy and energy efficient home improvement credits ended for 2026 expenditures.

Q: Is Social Security taxable?

A: It can be: up to 85% of benefits are taxable at higher combined incomes. Seniors age 65+ may also claim the additional $6,000 enhanced deduction through 2028 if their income is below the phase-out.

11. Sources and currency

Dollar figures reflect IRS guidance available as of October 10, 2026, principally Revenue Procedure 2025-32 (2026 inflation adjustments), IRS news release IR-2025-103, the IRS retirement plan limits announcement for 2026 (November 2025), and the IRS 'Working Families Tax Cuts' guidance pages. Congress and the IRS can change rules; items not individually cited should be verified at IRS.gov before use.

- IRS Publication 17 (Your Federal Income Tax), Publication 501 (Dependents, Standard Deduction, Filing Information), Publication 505 (Tax Withholding and Estimated Tax), Publication 590-A/B (IRAs), Publication 970 (Education Credits).
- IRS Working Families Tax Cuts pages for individuals, families, and charitable giving (irs.gov/newsroom/working-families-tax-cuts).
- IRS Notice 2025-67 and related guidance on 2026 retirement plan limits.